Chapter Thirty-Seven

Unlocking Wealth Tucked Away in Gold

India's Great Gold Wealth

Global stocks of gold are estimated to be close to 2 lakh tonnes. Estimates of the World Gold Council (WGC) suggest that the total quantity of gold mined until the end of 2019 was 1,97,576 tonnes. As gold is indestructible, the entire gold ever mined in human history exists in one form or another. According to WGC, this stock of gold is used/available in one of four broad forms. Jewellery has the largest share of 92,947 tonnes (47 per cent), followed by gold held as investment by individuals and households (private investment), which is estimated at 42,619 tonnes (21.6 per cent). Monetary authorities (mostly central banks) of the world, despite moving away from using gold as currency or as backup/reserve for gold standard currency, still hold 33,919 tonnes of gold. The rest of the gold, used in various applications like technology, dentures, etc., classified as 'others', is estimated at 28,090 tonnes (14.2 per cent).

WGC estimates that gold is mined at the rate of about 800–1000 tonnes per quarter or about 3000–4000 tonnes a year. In 2010, global gold stocks were estimated to be 1,68,348.5 tonnes, which have grown by 29,337.2 tonnes in nine years, or by 3247 tonnes a year. Two-thirds of current above-ground gold stocks, or about 1,32,350 tonnes, have been mined since 1950.

There are various estimates of gold stocks in India. In a speech delivered by economist and retired IAS officer Y.V. Reddy in 1996 at the Gold Economic Conference, organized by WGC in New Delhi, he quoted WGC numbers to state that estimated gold stocks in India were 9016 tonnes, which was about 7 per cent of the global stocks of 1,28,800 tonnes